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SOUTH-SOUTH AGRICULTURAL AGREEMENTS

Chloé Maluleke, Associate and Russia & Middle East Specialist, BRICS+ Consulting Group

In 1995, trade between developing economies made up only 10% of global exports. Today, it accounts for nearly 30%, worth over US$5 trillion annually. Agriculture is a major driver of this growth. According to the Food and Agriculture Organisation, a specialised agency within the United Nations, trade in agri-food products between developing countries exceeded US$700 billion in 2023, driven by demand for fertilisers, seeds, and processed foods.

Within Africa, intra-continental agricultural trade has grown by 12% year-on-year, and under the African Continental Free Trade Area (AfCFTA), it could rise by 81% by 2045, adding US$34 billion in annual exports. For many nations, this isn't just trade, it's structural transformation.

Barriers still holding trade back

Progress, however, remains uneven. Tariffs on processed foods remain high, averaging 17% across African regions, while non-tariff barriers, like inconsistent customs systems and SPS (sanitary and phytosanitary) rules, delay exports. The Afreximbank estimates that poor infrastructure and weak cold chains cost Africa up to 30% of its perishable exports annually.

Financing trade in local currencies also remains a challenge, though systems like PAPSS (Pan-African Payment and Settlement System) are beginning to change that. These bottlenecks make clear that trade integration needs more than agreements; it needs coordination, investment, and trust.

New agreements, new corridors

The AfCFTA's Guided Trade Initiative is already moving agri-goods tariff-free across eight pilot countries. Brazil and Nigeria signed a US$1 billion agricultural mechanisation deal this year to enhance food production and equipment exchange. China's partnership with Kenya has boosted tea exports by 23%, while India and Mozambique's pulses partnership is helping stabilise food supply on both sides.

These agreements aren't simply about market access; they're about sharing knowledge, technology, and logistics. They lay the groundwork for a trade system that recognises interdependence as strength.

Lowering barriers, raising futures

When trade flows freely, smallholder farmers become exporters, not just producers. Harmonised rules reduce waste, and regional finance reduces vulnerability to currency shocks. With AfCFTA and BRICS leading the charge, South–South agricultural trade is proving that cooperation, not competition, is the true foundation of sustainable growth.

TOP 5 AGRI-EXPORTS IN SOUTH-SOUTH TRADE

US$ 102B	US$ 89B	US$ 65B	US$ 48B	US$ 44B
Processed foods	Grains & pulses	Livestock & dairy	Fertilisers & agri-inputs	Fruits, vegetables & oils